

DAILY CURRENT AFFAIRS

KEY NEWS | DEEPER INSIGHTS | EXAM FOCUS

6 IMPORTANT TOPICS TODAY

5 SEPTEMBER 2026

1 INDIA'S FOREX RESERVES HIT A FRESH RECORD



RBI data show foreign-exchange reserves reach **\$740.8 billion** for the week ended August 28.

GS-III | ECONOMY

2 RBI MOVES TO ABSORB RECORD LIQUIDITY



₹7-trillion, 30-day VRRR auction announced against a banking-system liquidity surplus of around ₹10.3 trillion.

GS-III | ECONOMY

3 INDIA'S STRONG GDP GROWTH SPARKS A DEBATE



High growth numbers, but questions remain on employment and investment.

GS-III | ECONOMY

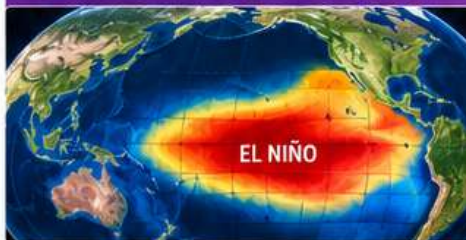
4 BELOW-NORMAL SEPTEMBER RAINFALL RAISES CROP CONCERNS



Uneven monsoon and below-normal September rainfall may affect kharif output and food inflation.

GS-I | GEOGRAPHY | GS-III

5 SUPER EL NIÑO RISK



Possibility of an unusually strong El Niño event and its wide-ranging impacts on weather and the Indian monsoon.

GS-I | GEOGRAPHY | GS-III

6 NASA'S NANCY GRACE ROMAN SPACE TELESCOPE



A next-generation observatory to study dark energy, dark matter, exoplanets and more.

GS-III | SCIENCE & TECHNOLOGY



KNOW
ANALYSE
APPLY
EXCEL



CLEAN FACTS



CONCEPT
CLARITY



EXAM ORIENTATION



A BRIGHTER TOMORROW

**CURRENT AFFAIRS
TODAY**
A STRONGER YOU TOMORROW

SONE RIVER WATER DISPUTE

RIVERS CONNECT PEOPLE.
FAIR SHARING BUILDS A STRONGER INDIA.

A DISPUTE
OVER WATER,
A SHARED
RESPONSIBILITY.

COOPERATIVE
FEDERALISM
FOR A WATER
SECURE INDIA



Sone Barrage, Dehri (Bihar)

ABOUT THE SONE (SON) RIVER



Also known as: Son River (Sone)



Origin: Amarkantak Plateau,
Maikal Hills (Madhya Pradesh)



Length: ~784 km



Major tributaries: Rihand, North Koel,
Johilla, Gopad, Kanhar



Flows through: Madhya Pradesh →
Uttar Pradesh → Bihar



Confluence: Joins the Ganga near
Patna (Bihar)



Part of: Ganga river basin



Importance: Irrigation, drinking water,
hydropower, and supports agriculture
in the eastern Indo-Gangetic plains.

COURSE OF THE SONE RIVER



WHY IS THERE A DISPUTE?



Sharing of water

Differing state interests on allocation
for irrigation, power and drinking water.



Upstream vs downstream concerns

Upstream projects may reduce water
availability downstream.



Irrigation demands

High demand for irrigation in
water-scarce regions (especially during
lean season).



Multipurpose projects

Proposals for dams and barrages
(e.g., Kanhar, Bansagar, etc.) have
raised concerns.



Lack of a final settlement

Demands for a tribunal and formal
allocation persist.

KEY PROJECTS ON THE SONE RIVER

Project	Location	Purpose	Key points
Indrapuri Barrage	Dehri (Bihar)	Irrigation, water supply, power	Major existing structure (commissioned in 1960s).
Bansagar Project	Madhya Pradesh (U.P.-MP border)	Irrigation, power	Multipurpose project; water sharing concerns.
North Koel Project	Jharkhand	Irrigation	Proposed; linked to inter-state discussions (with Koel and Son basins).
Kanhar Project	Madhya Pradesh	Irrigation	Proposed; part of Madhya Pradesh's plans.
Rihand Dam	U.P. (on tributary)	Irrigation, hydropower	On major tributary of Son.

LEGAL AND INSTITUTIONAL FRAMEWORK



Article 262 of the Constitution

- Empowers Parliament to provide for adjudication of inter-state river water disputes.
- Parliament can also bar the jurisdiction of the Supreme Court in such disputes.



Inter-State River Water Disputes Act, 1956

- Provides for the constitution of a tribunal to adjudicate disputes.
- Tribunal's decision is final and binding on the parties.



Inter-State River Water Disputes (Amendment) Act, 2002

- Streamlined the process for constitution of tribunals.
- Provides for a permanent tribunal mechanism (now through the Inter-State River Water Disputes Tribunal).

SONE RIVER DISPUTE: KEY STAKEHOLDERS



Madhya Pradesh

- Proposes projects for irrigation and power.
- Seeks greater share for development needs.



Uttar Pradesh

- Depends on water for irrigation in eastern U.P.
- Concerns over upstream diversions.



Bihar

- Relies on downstream flows.
- Concerns over reduced water availability due to upstream projects.

Need for consultation, data sharing and mutually acceptable agreements.

SIGNIFICANCE OF RESOLVING THE DISPUTE



Improved agricultural productivity and food security



Drinking water security for millions



Greater power generation potential



Balanced regional development



Strengthens cooperative federalism



Supports climate resilience and sustainable water management

CHALLENGES



Divergent state interests



Variable and seasonal river flows



Impact of climate change



Lack of real-time data sharing



Political sensitivities



Delays in constituting tribunals
and implementing decisions

THE WAY FORWARD



Early constitution of a tribunal
(if needed)



Data-driven and transparent decision-making



Basin-level planning and integrated
water resource management



Focus on equitable and sustainable use



Strengthen inter-state consultation
mechanisms



Align with the National Water Policy, 2012
and climate adaptation strategies

RELEVANCE FOR UPSC

- GS-II:** Inter-state relations, federalism, dispute resolution mechanisms, role of tribunals, governance.
- GS-I:** River systems of India, Ganga basin, physical geography.
- GS-III:** Water resource management, irrigation, sustainable development.
- Essay:** Cooperative federalism and equitable sharing of natural resources.



KEY TAKEAWAYS

- The Sone River is a vital tributary of the Ganga.
- Disputes arise due to competing demands for water among Madhya Pradesh, Uttar Pradesh and Bihar.
- Article 262 and the Inter-State River Water Disputes Act, 1956 provide the legal framework.
- A cooperative, data-driven and sustainable approach is essential for long-term water security and regional harmony.

**WATER
SHARED WISELY
FUELS A
PROSPEROUS
TOMORROW**



NASA's NANCY GRACE ROMAN SPACE TELESCOPE

A NEW EYE ON THE UNIVERSE

NASA's Nancy Grace Roman Space Telescope (Roman Telescope) will explore the cosmos, from dark energy and dark matter to exoplanets, using a wide field of view and advanced instruments.

Wider. Deeper. More to Discover.
Mapping the Universe. Finding New Worlds.



**SAME
UNIVERSE.
BIGGER
QUESTIONS.
BOLDER
ANSWERS.**

**WIDE VIEW.
DEEP INSIGHTS.
BRIGHTER TOMORROW.**

KEY FACTS

-  **Agency**
NASA
-  **Launch (planned)**
May 2027
-  **Launch vehicle**
SpaceX Falcon Heavy
-  **Orbit**
L2 (Sun-Earth Lagrange Point)
-  **Mission duration**
At least 5 years (goal: 10 years)
-  **Primary goal**
Wide-field observations to study dark energy, dark matter, exoplanets and the infrared universe

WHO WAS NANCY GRACE ROMAN?

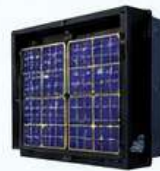


**Nancy Grace Roman
(1925–2018)**

- Pioneering astronomer and NASA's first Chief of Astronomy (1960–1979)
- Played a key role in the Hubble Space Telescope
- Known as the "Mother of Hubble"
- Advocated for large space missions and greater participation of women in science

"The future of astronomy is in space."
– Nancy Grace Roman

MAIN INSTRUMENTS



Wide Field Instrument (WFI)

- 18 detectors, ultra-wide field of view
- 100 times larger area than Hubble's imaging
- High-resolution imaging and slitless spectroscopy
- Will survey billions of galaxies



Coronagraph Instrument (CGI)

- Blocks starlight to detect faint planets
- Will directly image exoplanets
- Demonstrates advanced wavefront-control technology

WHAT WILL ROMAN STUDY?



Dark Energy

Map the large-scale structure of the universe to understand the nature of dark energy and the universe's accelerating expansion.



Dark Matter

Study the distribution of dark matter through gravitational effects (weak lensing).



Exoplanets

Directly image exoplanets and study their atmospheres using the coronagraph.



Gravitational Microlensing

Detect exoplanets, including low-mass and distant planets, using microlensing (gravitational lensing by a foreground star).

HOW IT WILL WORK

- 1 Wide-field survey**
Capture images of large areas of the sky in infrared light.
- 2 Detect faint signals**
Use sensitive instruments to observe distant galaxies, weak gravitational lensing and exoplanets.
- 3 Data analysis**
Map billions of galaxies and detect tiny changes in light caused by dark matter and dark energy.
- 4 New discoveries**
Provide insights into the origins, evolution and future of the universe.

COMPARISON WITH OTHER TELESCOPES

Feature	Hubble	James Webb (JWST)	Roman
Launch year	1990	2021	2027 (planned)
Primary focus	General astronomy	Early universe, IR observations	Wide-field survey, dark energy, exoplanets
Wavelength range	Visible, UV, near-IR	Infrared (0.6 – 28 μ m)	Near-IR (0.48 – 2.3 μ m)
Field of view	Narrow (~10 arcmin)	Narrow (~9.7 arcmin)	Very wide (~0.28 deg ² ; ~100× Hubble)
Key strength	High-resolution imaging	Deep infrared imaging	Wide-field imaging, cosmic surveys, exoplanet imaging

WHY IS IT IMPORTANT?

-  Will survey billions of galaxies, much larger than previous missions.
-  Helps answer fundamental questions about the nature of dark energy and dark matter.
-  Will expand our search for exoplanets, including Earth-like worlds.
-  Complements Hubble and JWST, providing a wider and deeper view of the universe.

EXPECTED OUTCOMES

-  A detailed map of the universe and its evolution
-  Better understanding of dark energy and dark matter
-  Discovery and characterisation of thousands of exoplanets
-  New insights into galaxy formation, stellar populations and cosmic structure

RELEVANCE FOR UPSC

-  **GS-III: Science & Technology**
 - Space technology and missions
 - Astronomy and astrophysics
 - Applications of space research
-  **Prelims:** Important facts (agency, instruments, L2, objectives, etc.)
-  **Mains:** Significance for scientific advancement, human knowledge and international space collaboration
-  **Also linked to:** International cooperation (in NASA), role of space technology in sustainable development

FROM NEW WORLDS TO BIGGER ANSWERS

THE ROMAN TELESCOPE WILL HELP US SEE
FARTHER, UNDERSTAND DEEPER.

*"By exploring the universe, we also
discover our place in it."*

**SCIENCE TODAY
A BRIGHTER TOMORROW**

SUPER EL NIÑO RISK

A STRONGER OCEAN WARMING, BIGGER IMPACTS

Meteorological agencies are warning of the possibility of an unusually strong El Niño event, with wide-ranging implications for global weather, the Indian monsoon, agriculture, marine ecosystems and the world economy.



OCEAN CHANGES SHAPE OUR WEATHER

UNDERSTAND
PREPARE
BUILD RESILIENCE

WHAT IS EL NIÑO?



- El Niño is the warm phase of ENSO (El Niño–Southern Oscillation).
- It refers to the abnormal warming of sea surface temperatures (SST) in the central and eastern equatorial Pacific Ocean.
- Occurs once every 2–7 years, usually lasting 9–12 months.
- Can range from weak to very strong; “Super El Niño” refers to an unusually intense event (e.g., 1982–83, 1997–98, 2015–16).

WHAT IS LA NIÑA?



- La Niña is the cool phase of ENSO.
- Characterised by below-normal SST in the central and eastern Pacific.
- Associated with stronger trade winds and enhanced upwelling of cold water.
- Often leads to above-normal rainfall in many parts of the world, including India (generally).

ENSO CYCLE

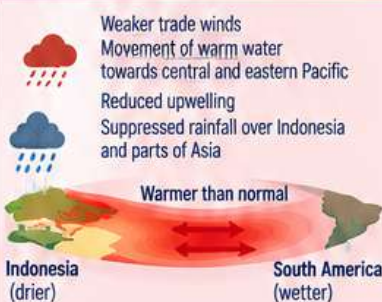


- ENSO is a natural climate phenomenon in the tropical Pacific Ocean.
- It has two opposite phases — El Niño (warm) and La Niña (cool), and a neutral phase.
- Driven by changes in sea surface temperatures, trade winds and ocean–atmosphere interactions.
- Monitored using Oceanic Niño Index (ONI) (3-month average SST anomaly in Niño 3.4 region).

THE WALKER CIRCULATION (NORMAL CONDITIONS)



DURING EL NIÑO



DURING LA NIÑA



CLASSIFICATION (BASED ON ONI)

Category	ONI (°C)
La Niña (weak)	-0.5 to -0.9
La Niña (moderate)	-1.0 to -1.4
La Niña (strong)	≤ -1.5
Neutral	-0.4 to +0.4
El Niño (weak)	+0.5 to +0.9
El Niño (moderate)	+1.0 to +1.4
El Niño (strong)	+1.5 to +1.9
Super El Niño	≥ +2.0

GLOBAL IMPACTS OF A SUPER EL NIÑO

- Higher global temperatures**
Contributes to the warmest years on record.
- Changed rainfall patterns**
Droughts in some regions, floods in others.
- More extreme weather**
Higher frequency and intensity of heatwaves, heavy rainfall and tropical cyclones.
- Food security risks**
Lower crop yields in drought-affected regions.
- Marine ecosystem stress**
Coral bleaching, disruption of fisheries.
- Economic impacts**
Agriculture, fisheries, energy and global trade can be affected.

IMPACT ON INDIA

- Weaker southwest monsoon**
Higher chance of below-normal rainfall (though not always).
- Risk to kharif crops**
Particularly rainfed agriculture (rice, pulses, oilseeds).
- Higher temperatures**
More heatwaves and prolonged dry spells.
- Lower reservoir levels**
Can affect irrigation and drinking water supply.
- Higher food inflation**
Reduced domestic production may increase food prices.
- May influence tropical cyclones**
Shifts in cyclone frequency and tracks in the Indian Ocean region.

HISTORICAL SUPER EL NIÑO EVENTS

Year	Global Impact	Impact on India
1982–83	High global temperatures, widespread droughts	Severe monsoon deficit, drought
1997–98	Major climate disruptions	Weak monsoon, lower agricultural output
2015–16	Warmest year on record (at that time)	Below-normal monsoon, drought in many regions

KEY TAKEAWAYS

- El Niño and La Niña are opposite phases of ENSO.
- Super El Niño (ONI ≥ +2.0°C) is rare but has major global impacts.
- It can weaken the Indian monsoon and affect agriculture, water availability and food prices.
- It influences marine ecosystems and extreme weather events.
- Continuous monitoring and early warning systems are essential for climate resilience.

RELEVANCE FOR UPSC

- GS-I: Geography** — ENSO, Walker circulation, ocean–atmosphere interactions, climatic phenomena
- GS-III: Agriculture** — impact on crops, food security, irrigation, disaster management
- GS-III: Environment** — marine ecosystems, coral reefs, climate change, extreme weather
- GS-III: Indian Economy** — food inflation, agriculture, climate risks, resilient infrastructure

Also useful for: Essays (climate change & food security), Disaster management, Sustainable development

OCEANS CHANGE. SO DOES OUR TOMORROW.
UNDERSTANDING ENSO BUILDS A CLIMATE-RESILIENT INDIA.



KNOW TODAY
PREPARE FOR TOMORROW

BELOW-NORMAL SEPTEMBER RAINFALL RAISES CROP CONCERNS

Rainfall patterns are becoming crucial for agricultural output after an uneven monsoon, making the link between the southwest monsoon, kharif crops and food inflation important.

Good monsoon supports farm output, rural incomes and controls food inflation.
Deficient rainfall can reduce crop yields, strain reservoirs and increase food prices.

RAIN TODAY
FOOD TOMORROW
FARMERS STRONGER
INDIA SAFER

MONSOON
MATTERS
FOR A FOOD-
SECURE INDIA

ALL-INDIA RAINFALL STATUS

(June – September 2026, up to early September)



Cumulative rainfall is below normal, with September showing a deficit.

**SEPTEMBER RAINFALL
BELOW NORMAL**

Period	Actual (mm)	Normal (mm)	% Departure
June	102.3	96.1	+6%
July	285.4	290.1	-2%
August	248.7	264.9	-6%
September (upto 3 Sep)	28.4	86.7	-67%
Season (Jun-Sep)	666.7	741.8	-10%

Note: Figures are illustrative and based on IMD updates (as of early September 2026).

HOW THE SOUTHWEST MONSOON WORKS

- Land-sea heating contrast**
Indian land heats faster than ocean in summer, creating low pressure over land and high pressure over ocean.
- Moisture-laden winds**
Southwest monsoon winds from the Indian Ocean bring moisture towards India.
- Orographic uplift**
Winds rise over Western Ghats, Himalayas and other ranges, causing rain.
- Branching**
Arabian Sea branch and Bay of Bengal branch cover different parts of India.
- Retreat**
Monsoon withdraws from northwest India by September.

FACTORS AFFECTING MONSOON RAINFALL

- ENSO (El Niño/La Niña)**
 - El Niño → weaker monsoon, below-normal rainfall
 - La Niña → stronger monsoon, above-normal rainfall
- Indian Ocean Dipole (IOD)**
 - Positive IOD → supports better monsoon rainfall
 - Negative IOD → can weaken monsoon
- Snow cover over Himalayas**
Less snow cover can weaken the monsoon.
- Land surface and heat waves**
Higher pre-monsoon heat can strengthen monsoon circulation (to an extent).
- Cyclonic systems**
Monsoon depressions and low-pressure systems enhance rainfall.
- Climate change**
Increasing variability, extreme rainfall events and longer dry spells.

MONSOON AND KHARIF CROPS

Kharif crops depend heavily on timely and well-distributed rainfall.



RICE

High dependence on monsoon



MAIZE

Moderate dependence



PULSES

(tur, urad, moong)

Sensitive to dry spells



OILSEEDS

(soybean, groundnut)

Affected by rainfall distribution



COTTON

Needs adequate but well-spread rainfall

RESERVOIR STORAGE STATUS

Uneven monsoon has led to lower reservoir levels in some regions.



~70%
of total reservoir capacity
(as of early September 2026)

Lower storage may affect irrigation and rabi sowing if the deficit persists.

IMPACT ON AGRICULTURE AND FOOD INFLATION

- Lower crop yields if rainfall deficit continues.
- Reduced farm incomes, especially for rainfed areas.
- Tighter supply of foodgrains, pulses and oilseeds.
- Upward pressure on food inflation (e.g., cereals, vegetables, pulses).
- Greater need for buffer stock releases and import management.

RECENT TRENDS IN FOOD INFLATION

Food inflation remains sensitive to monsoon performance.



A prolonged rainfall deficit can push food inflation higher, affecting overall inflation and household welfare.

KEY RISKS TO WATCH

- Continued below-normal September rainfall
- Impact on kharif sowing and yields
- Decline in reservoir levels
- Spike in food prices (cereals, pulses, vegetables, edible oils)
- Possibility of El Niño strengthening
- Higher vulnerability of rainfed regions and small farmers

POLICY RESPONSE OPTIONS

- Accelerate irrigation support and micro-irrigation schemes
- Ensure adequate buffer stocks (FCI)
- Calibrated imports to manage prices if needed
- Crop insurance and direct income support
- Invest in climate-resilient agriculture and drought-tolerant varieties
- Strengthen weather forecasting and advisories for farmers

RELEVANCE FOR UPSC

- GS-I: Indian Geography** – Monsoon mechanism, ENSO, IOD, climatic factors
- GS-III: Agriculture** – Cropping patterns, food security, irrigation, reservoir management
- GS-III: Indian Economy** – Food inflation and its impact, government response
- GS-III: Environment & Climate Change** – Increasing variability and extreme events

KEY TAKEAWAYS

- ✓ September rainfall is below normal, raising crop concerns.
- ✓ Monsoon performance directly affects kharif output and food inflation.
- ✓ ENSO, IOD and other factors influence monsoon strength.
- ✓ Need for climate-resilient agriculture and effective policy response.



**STABLE
MONSOON
STRONG AGRICULTURE
FOOD SECURITY
PROSPEROUS INDIA**

INDIA'S STRONG GDP GROWTH SPARKS A MEASUREMENT AND DEVELOPMENT DEBATE

High growth numbers, but are jobs and investment keeping pace?

India's GDP growth remains strong, yet questions are being raised on whether the headline numbers are translating into sufficient employment, private investment and inclusive development.

HIGH GROWTH. BIGGER OPPORTUNITIES. INCLUSIVE DEVELOPMENT REMAINS THE GOAL.

SUSTAINABLE GROWTH FOR A DEVELOPED INDIA

LATEST GDP GROWTH

India's real GDP grew by
7.8%
in FY 2025-26
(as per latest official estimates)

Among the fastest-growing major economies in the world.

BUT KEY QUESTIONS REMAIN



Is enough quality employment being created?



Is private investment reviving strongly?



Are the benefits of growth reaching all sections of society?



Is the growth path sustainable and inclusive?

INDIA IN GLOBAL CONTEXT

Real GDP Growth (Latest available, %)



GDP vs GVA — WHAT'S THE DIFFERENCE?

Aspect	GDP (Gross Domestic Product)	GVA (Gross Value Added)
Meaning	Total value of final goods and services produced in an economy.	Value added at each stage of production (output minus intermediate consumption).
Measurement approach	Product approach, income approach, or expenditure approach.	Sum of value added across sectors (agriculture, industry, services).
Includes	Adds net indirect taxes (subsidies subtracted).	Does not include indirect taxes; focuses on sectoral value addition.
Relationship	$GDP = GVA + (\text{Net indirect taxes})$	
Use	Overall size of the economy.	Understand sectoral contribution to growth.

GROWTH, EMPLOYMENT AND INVESTMENT TRENDS

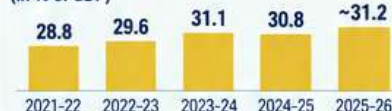
Real GDP Growth (%)



Unemployment Rate (%)



Gross Fixed Capital Formation (in % of GDP)



WHY THE DEBATE?



Employment not keeping pace with output growth.



Private investment remains below pre-pandemic levels.



Consumption is strong, but dominated by government spending in recent years.



Concerns over income and regional inequalities.



Need to translate growth into human development outcomes (health, education, skilling).

FACTORS BEHIND STRONG GDP GROWTH



Robust services sector (finance, IT, communications)



Higher public capital expenditure on infrastructure



Resilient domestic consumption



Strong exports in key sectors (pharma, electronics, engineering)



Macroeconomic stability and structural reforms

CHALLENGES AND CONCERNS



Job creation is less than expected, especially in formal manufacturing.



Private investment is subdued due to global uncertainty and domestic demand-supply gaps.



Quality of jobs and low female labour force participation.



Uneven regional development across states.



Risk of jobless growth if the manufacturing sector does not expand sufficiently.

THE WAY FORWARD



Revive private investment through stable policies, ease of doing business and lower regulatory uncertainty.



Focus on labour-intensive manufacturing and MSMEs.



Invest in skilling, education and health to improve productivity.



Promote inclusive growth with regional balance.



Leverage global opportunities while building domestic resilience.

RELEVANCE FOR UPSC

GS-III: Indian Economy

- Measurement of national income (GDP, GVA)
- Investment, employment and inclusive growth
- Issues related to structural transformation and jobless growth
- Policies for sustainable and balanced development

KEY TAKEAWAYS

- ✓ India's GDP growth remains strong.
- ✓ Debate exists on whether growth is translating into adequate employment and investment.
- ✓ Need to focus on quality, inclusive and sustainable growth.
- ✓ Both GDP and GVA are important for understanding economic performance.

“Growth is meaningful only when it creates opportunities for all.”

Towards a Developed and Inclusive India

RBI MOVES TO ABSORB RECORD BANKING LIQUIDITY

RBI announces ₹7 trillion, 30-day Variable Rate Reverse Repo (VRRR) auction with early-redemption facility

Move comes against a banking-system liquidity surplus of around ₹10.3 trillion.

STABLE
LIQUIDITY
STRONGER
ECONOMY

PRUDENT
POLICY
FOR A RESILIENT
INDIA

KEY NUMBERS



₹7 trillion
VRRR auction size
(30-day tenor)



₹10.3 trillion
Banking-system
liquidity surplus
(approx.)



30 days
Tenor of VRRR



Early exit
Early-redemption
facility announced

“ The operation aims to absorb surplus liquidity and ensure orderly conditions in the money market.

— Reserve Bank of India

WHY IS BANKING-SYSTEM LIQUIDITY HIGH?



High government spending
(capex and revenue outlay)



RBI's dividend transfer to the
government



Higher currency in circulation
(e.g., festive demand)



Moderate credit demand



Capital inflows and other durable
liquidity sources

WHAT IS VRRR?



Variable Rate Reverse Repo (VRRR)

- A monetary policy tool used by RBI to absorb short-term surplus liquidity from the banking system.
- Banks park their surplus funds with RBI at a variable interest rate (determined through auction).
- Funds are withdrawn from the system for a specified period (here 30 days).
- This auction has an early-redemption facility, allowing banks to exit before maturity if needed.

REPO vs REVERSE REPO vs VRRR

Feature	Repo	Reverse Repo	VRRR
Who borrows?	Banks borrow from RBI	Banks lend to RBI	Banks lend to RBI (auction)
Purpose	Injects liquidity	Absorbs liquidity	Absorbs large surplus liquidity
Rate	Fixed (repo rate)	Fixed (reverse repo rate)	Variable (auction-based)
Tenor	Usually overnight/short	Usually overnight/short	Specified (30 days in this case)
Flexibility	Regular tool	Regular tool	Used for large, transient liquidity
Current use	Not applicable	Limited use now	₹7 trillion, 30-day VRRR with early exit

RBI'S LIQUIDITY MANAGEMENT TOOLS



Repo and Reverse Repo
Adjusts short-term liquidity and policy rates



VRRR / Variable Rate Repo
Fine-tunes liquidity for longer/variable tenors



OMOs (Open Market Operations)
Buy/sell government securities



MSF (Marginal Standing Facility)
Provides overnight liquidity at a penal rate



Standing Deposit Facility (SDF)
Absorbs surplus liquidity (replaced fixed reverse repo)



CRR / SLR
Structural liquidity management tools



FX operations
Manage rupee liquidity through dollar buying/selling

IMPACT OF THIS MOVE



Helps keep short-term
interest rates aligned
with the policy stance



Prevents excessive
liquidity from pushing
down money-market rates



Maintains financial stability
and orderly market functioning



Supports monetary policy
transmission



Provides flexibility with
early exit option

WHY IT MATTERS?

- 1 Ensures effective control over system liquidity.
- 2 Keeps short-term interest rates close to the policy corridor.
- 3 Helps anchor inflation by supporting monetary policy transmission.
- 4 Prevents asset price distortions due to excess liquidity.
- 5 Signals RBI's proactive and flexible liquidity management.

KEY TAKEAWAYS FOR UPSC

- ✓ VRRR is used to absorb surplus liquidity from the banking system.
- ✓ It allows RBI to manage short-term liquidity without changing the policy rate.
- ✓ Repo injects liquidity; reverse repo and VRRR absorb liquidity.
- ✓ RBI uses multiple tools: repo, reverse repo, VRRR, OMOs, MSF, SDF, CRR, SLR, and FX operations.
- ✓ Liquidity management helps in monetary policy transmission, inflation control and financial stability.
- ✓ Recent move: ₹7 trillion, 30-day VRRR auction with early-redemption facility, against a ₹10.3 trillion banking-system liquidity surplus.

RELEVANCE FOR UPSC



GS-III: Indian Economy

- Monetary policy and its tools
- Money and banking
- Financial markets
- Macroeconomic stability
- Inflation and growth



Also useful for:

- **Prelims:** Definitions, tools, current data
- **Mains:** Role of RBI in ensuring financial stability, transmission of monetary policy



**SOUND LIQUIDITY MANAGEMENT
FOR A STRONGER, STABLE AND INCLUSIVE INDIA**

**STABLE MARKETS
STRONGER TOMORROW**

INDIA'S FOREIGN EXCHANGE RESERVES HIT FRESH RECORD

RBI data show forex reserves at **\$740.8 billion**
(for the week ended August 28, 2026)

Stronger dollar inflows, robust external sector and valuation gains have pushed India's reserves to a new high.

A STRONGER
RUPEE
A MORE
RESILIENT
INDIA



Forex Reserves
\$740.8 billion
(as on August 28, 2026)
▲ New All-Time High



Increase
+\$6.6 billion
(over previous week)

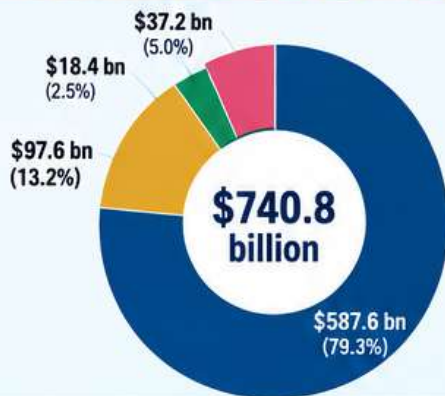


Previous Week
\$734.2 billion
(as on August 21, 2026)



India's Forex Reserves among the
LARGEST IN THE WORLD
(4th largest, after China, Japan, Switzerland)

COMPONENTS OF INDIA'S FOREX RESERVES (As on August 28, 2026)



- Foreign Currency Assets (FCA)**
Assets in major foreign currencies (e.g., USD, EUR, GBP, JPY)
- Gold Reserves**
Monetary gold held by RBI
- Special Drawing Rights (SDRs)**
Reserve asset created by the IMF
- IMF Reserve Position**
India's reserve position with the IMF

WHAT ARE FOREX RESERVES?



Foreign exchange reserves are external assets held by the RBI in foreign currencies, gold, SDRs and IMF reserve position. They act as a buffer against external shocks and help maintain stability in the exchange rate.

“Adequate forex reserves strengthen macroeconomic stability, build investor confidence and help the economy withstand global uncertainties.”

– Reserve Bank of India

WHY DO FOREX RESERVES MATTER?



Stabilise the rupee
Help RBI intervene in forex markets to prevent excessive volatility.



Meet external obligations
Enable payment for imports, external debt, and other international commitments.



Build investor confidence
A strong reserve position signals economic strength and creditworthiness.



Act as a buffer during crises
Useful during global financial shocks, commodity price spikes or capital outflows.



Support macroeconomic stability
Helps maintain low inflation and stable growth.

HOW ARE RESERVES BUILT?



Export earnings
Receipts in foreign currency



Capital inflows
FDI, FPI and external borrowings



RBI intervention
Purchase of foreign currency in the market



Valuation gains
Appreciation of non-USD assets (e.g., gold, euro, yen)

RBI AND EXCHANGE-RATE MANAGEMENT



Managed float
RBI intervenes in the market to smoothen volatility, not to maintain a fixed rate.



Tools used

- Buying/selling dollars
- Currency swaps
- Forward contracts
- Moral suasion and market communication



Objective
Ensure orderly movement in the rupee and maintain overall macroeconomic and financial stability.

INDIA IN GLOBAL CONTEXT

Forex Reserves (US\$ billion, latest available)



KEY FACTS FOR UPSC

- ✓ Foreign Currency Assets include government securities, treasury bills and other liquid assets.
- ✓ Gold reserves are valued at market prices.
- ✓ SDRs are international reserve assets created by the IMF in 1969.
- ✓ IMF reserve position reflects India's quota contribution and associated rights.
- ✓ RBI follows a managed floating exchange-rate regime.
- ✓ Adequate reserves are assessed using metrics like import cover, short-term external debt and composite adequacy frameworks (e.g., IMF ARA metric).

RELEVANCE FOR UPSC

- ✓ **GS-III: Indian Economy**
 - Balance of Payments
 - Exchange rate management
 - External sector and macroeconomic stability
- ✓ **Related topics:** IMF, SDRs, global financial architecture
- ✓ **Link with current affairs:** Global economic uncertainty, capital flows, dollar strength, commodity prices
- ✓ **Also relevant for:** Indian economic resilience and policy responses

A RESILIENT INDIA
IN A VOLATILE WORLD

STRONGER
EXTERNAL SECTOR
BRIGHTER TOMORROW



STABILITY



CONFIDENCE



OPPORTUNITIES



PROSPERITY